

PONY pitch deck

PITCH — PONY — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order, no starter: both benches land on reject-the-edge (not short), and the reject survives correcting both benches' own mistakes.

Deck built 2026-08-21 from the completed adversarial court (red bench + blue bench) and the machine evidence pack. No new data was pulled while writing it; every number below is attributed to the bench or filing that produced it, including the ones our own benches got wrong.

What we believe

Pony.ai runs a robotaxi business that is working better than a chart down 69% from its high suggests, and is still not investable at \$7.78.

The operating record, from the company's own Q2 release ([6-K EX-99.1, filed 2026-08-18](#)):

- Total revenue \$36.2M, up 68.8% from a year ago. Robotaxi revenue \$12.1M, up 691%.
- The fleet went from 1,159 cars at the end of 2025 to 1,975 at the end of June — a ~70% expansion in six months — and revenue *per car* did not fall while that happened. On a matched average-fleet basis it rose about 7% quarter over quarter (~\$6,580 → ~\$7,058 per car per quarter, i.e. roughly \$28,000 per car per year). Holding per-unit revenue flat-to-up while adding hundreds of brand-new, low-utilization cars is a creditable result, not a red flag.
- Operating expenses grew 9.6% while revenue grew 68.8%. Cash used in operations fell 41% quarter over quarter, from \$74.2M to \$44.0M.
- \$1.39B of cash and investments against \$93.0M of total liabilities and no borrowings. Share count moved +0.002% in the quarter; financing activities in the first half were *negative* \$376K. There is no dilution here and no financing cliff.

And yet we believe there is no trade, for one arithmetic reason and one disclosure reason.

The arithmetic reason (this is the whole case). At \$7.78 the market cap is \$3.37B. Subtract the \$1.39B of cash and investments and the *operating business* is being valued at roughly \$1.98B. Management's own target is more than 3,500 cars by the end of 2026. That is about **\$567,000 of business value per car** — against roughly **\$28,000 per car per year of gross revenue**. Put differently: hand the company a fully funded, fully deployed 3,500-car fleet tomorrow, free of charge, and at any revenue multiple we would actually underwrite (10–15× revenue per car) the business is worth *less than today's price*. Every 2026 milestone we could diligence is already inside the stock. What is being priced is the fleet of roughly 2029 and its unit economics — a number we cannot check.

The disclosure reason. The single line that would convert this from a story into arithmetic — **how many dollars of actual passenger fares the company collected** — has never been printed. Three quarters running (Q4'25, Q1'26, Q2'26) the company published a percentage (“+500%”, “+456.5%”, “+849.3%”) and never a level, in any venue. Meanwhile revenue from partner-funded cars (OnTime Mobility, Verne, Uber — where a partner buys the vehicle) is booked *inside* the same “Robotaxi services revenue” line, with no split. We can therefore see that fare revenue is growing faster than the segment, but we cannot see how big it is. A name whose core revenue line is withheld cannot be sized at any size.

We are also not short. The balance sheet is strong, losses are narrowing both year over year and sequentially, the cost line is genuinely leveraged, and the stock is a momentum/retail name — all four are reasons a short is wrong here even if the valuation is.

What the market believes

There are two markets in this stock and they disagree with each other.

The sell side — 18 analysts, consensus Strong Buy, average price target **\$20.37** against a \$7.78 tape — believes the terminal case: that a fleet several years out reaches tens of thousands of cars at mature per-car margins. That view is not about 2026 at all. It is a bet on the same ~2029 fleet our own math says is in the price; the analysts simply put a much higher value on it than we can defend.

The tape does not believe them. The stock is down 68.8% from its 52-week high of \$24.92 and sits at \$7.78, 22.2% above its 52-week low of \$6.365. It has already bounced roughly a fifth off the low — this is not a fresh dislocation.

The most informative single data point about market belief: the 2,000-vehicle Uber Europe announcement landed **August 14**, and the Q2 earnings release landed **August 18**. The market had four full sessions to price the Europe deal, then took the beat down about 3%. Both the deal and the beat were absorbed as non-events.

The consensus revenue number for 2026 is \$137.8M, but that figure is stale — it predates the Q2 print, and the first half alone was already \$70.5M.

Why we might have edge

Honestly: less than the brief that opened this court claimed.

- **The candidate edge that survives.** Our per-car valuation arithmetic (the \$567k-per-car figure) is a genuine disagreement with the \$20.37 consensus target, and it points *down*. We can defend it from filed numbers; the analysts' target requires assumptions about 2029 economics that nobody has published. That is a real divergence — but it is a divergence we cannot express. We would have to be short to monetize it, and we won't be short a momentum name with a fortress balance sheet and improving operations.
- **The candidate edge that evaporated.** Our reconstruction of full-year 2026 revenue is ~\$155–160M against consensus \$137.8M. That looks like a 13–16% beat. It isn't edge: consensus is

simply stale (pre-Q2), and our number is nothing more than management's own published guidance (robotaxi revenue at least $3.5\times$ the 2025 figure of \$16.6M). We would be "beating" an unrefreshed print by agreeing with the company. That is not a view, it is a data-refresh.

- **The methodological edge we did earn.** Both benches independently caught that the per-car revenue metric — the one number the entire bull brief rested on — was constructed from mismatched dates. That check is now a reusable detector (see *What we checked ourselves*, rows 1–2). It found an error in the brief *and* an error in our own red bench. That is worth more to the desk than this ticker is.

Why it might be priced in

Symmetrically, here is the case that our reject is the wrong call:

- **The stock is already down 69%.** A great deal of disappointment is in the price. Our entire reject rests on a valuation multiple applied to a business whose revenue is compounding at 69% year over year and whose robotaxi line is compounding at 691%. Applying a $10\text{--}15\times$ revenue-per-car multiple to a company at this stage of an S-curve may simply be the wrong instrument.
- **Our per-car math undercounts the asset-light path.** In the joint deployment model the *partner* funds the vehicle. If that model scales, the capital intensity per car falls and the "value per car" framing understates the return on Pony's own capital. (Counterweight, and the reason we didn't move on it: Q2 capital spending of \$32.2M against the quarter's net vehicle additions works out to roughly \$60,900 per car — Pony is still buying most of them itself.)
- **The one fact that would flip us is unknown, not absent.** If Q2 fare revenue turns out to be, say, \$7M+ of the \$12.1M segment, then fare revenue per car is running around \$4,100 per quarter, the ride business is genuinely real and self-standing, and the terminal case becomes gradeable. We are rejecting on the *absence* of that number, which is a decision about disclosure, not about the business.
- **Management's own margin disclosure cuts our way less than we assumed.** The Q2 release attributes the gross-margin improvement to "a higher contribution from Robotaxi services, including revenues generated under the joint deployment model, which generated relatively higher margins during the quarter." Blended margin rose 16.1% → 17.5% while robotaxi went from ~7% to ~33% of revenue. That combination is arithmetically impossible if robotaxi margin were near zero; it implies roughly 13–21%. It's management's own characterization and unaudited, so we discount it — but the claim that this business runs at no margin is not supported.
- **Crowding cuts both ways.** 18 analysts at Strong Buy means we are unlikely to be seeing something they aren't. It also means positioning is one-sided and a fare-dollar disclosure would be violently repriced.

What we checked ourselves

Every row is a check one of our own benches ran (or failed to run). Rows marked **OUR OWN ERROR** are places where our benches were wrong — five of them, three material.

Claim	How checked	Found	Confirmed?
Robotaxi revenue per car rose 21% QoQ (the bull brief's single load-bearing number)	Recomputed with the company's own fleet disclosures	The Q1 denominator was a fleet count dated May 24 — 54 days <i>after</i> the quarter it divides — while Q2 used a count dated June 30. Mismatched as-of dates	NO — OUR OWN ERROR (the brief's). The 21% is an artifact
Corrected: per-car revenue is flat , +0.7%	Red bench recomputed using “end-2025 ≈1,000 cars”	That 1,000 was unsourced . The filed figure is 1,159 at 12/31/25 . Corrected: +7.3% QoQ , ~+32% annualized	NO — OUR OWN ERROR (red's). Red replaced one bad denominator with another and understated the move about tenfold
Fare revenue is disclosed somewhere	Searched three consecutive quarterly releases, all venues	Percentages only — never a dollar level, in any quarter, anywhere	CONFIRMED — the gap is real and is the most damning fact in the file
Fare revenue is a rising share of robotaxi revenue	Arithmetic on the two disclosed growth rates	Fare +849.3% vs segment +691.2% ⇒ fare share rose ~1.20× year over year (1.12× in Q1). Partner revenue is a <i>shrinking</i> share	CONFIRMED on direction; level unknown. Red's claim that this “cannot be evaluated” was wrong
The sequential revenue increase is carried by the legacy business, not robotaxi	Filed segment table	Robotaxi + \$3.50M , robotruck + \$3.13M , legacy solutions − \$4.67M on \$34.25M → \$36.22M. Robotaxi carried more than the entire increase	NO — OUR OWN ERROR (red's). The arithmetic was right; the characterization was inverted
The Uber Europe 2,000-vehicle deal “is not contracted”	Compared the 8/18 release verbatim against the earlier 8/14 release	The vetted document says “including Uber for the contracted deployment of more than 2,000 Robotaxis in Europe.” The phrase “under agreements in negotiation” attaches to the 4,000 aggregate , not to the Uber 2,000	NO — OUR OWN ERROR (red's; it contradicted our own evidence pack using an earlier document). Red's date point stands: the news landed 8/14, not with the print
“Over 4,000 vehicles” is a backlog	Read the sentence it appears in	Self-described in the same sentence as “under agreements in negotiation” — an uncommitted pipeline presented in a committed-backlog slot	CONFIRMED for the 4,000 aggregate; excluded for the Uber 2,000
The core question — is the ride business real? — is unanswerable from disclosure	Blue bench re-read the margin discussion red had skimmed	The 6-K states robotaxi (including partner-funded deployment) carried “relatively higher margins.” Blended 16.1%→17.5% with robotaxi mix 7%→33% bounds robotaxi margin at roughly 13–21%	NO — OUR OWN ERROR (both the brief and red called it unanswerable). The answer is there. It is management-scoped

Claim	How checked	Found	Confirmed? and unaudited, so we discount it
Liquidity is \$1.39B	Balance sheet	Cash \$327.1M + short-term investments \$787.0M + restricted \$4.8M = \$1,118.9M . The remaining \$271.6M is long-dated Chinese wealth-management paper counted in the headline	CONFIRMED — liquidity is real; ~20% of it is less liquid than the headline implies
Runway is 18 quarters	Recomputed against the company's <i>own</i> fleet plan	H2 requires ~1,525 more cars at ~\$60,900 each ≈ \$93M of capital spending, so ~\$90M/quarter of consumption ⇒ ~15 quarters	NO — OUR OWN ERROR (red's; its own fleet-plan finding contradicted its runway finding). Still not a solvency issue
"The cash that funds Europe is onshore RMB"	Not checked	No currency or jurisdiction split was ever pulled. The Hong Kong dual-primary listing (HKEX: 2026) implies some offshore proceeds and cuts the other way	UNVERIFIED — red asserted this as fact without support
Share count / dilution / debt	20-F plus weighted-share disclosures	433,541,553 → 433,551,136 weighted shares (+0.002%); H1 financing – \$376K; no borrowings; total liabilities \$93.0M. Dual-class: 81.09M B shares at 10 votes ⇒ ~70% of votes on ~19% of economics	CONFIRMED — clean. We explicitly refused the easy "dilution" kill because the filings don't support it
Insider selling is a warning	EDGAR Form 144 / Form 4 index	Clusters recur <i>every quarter</i> — 6/23/25, 12/23/25, 3/26 + 3/30/26, 6/26/26. That is a plan-like cadence, not a spike	CONFIRMED as cadence (a positive finding). Filer names were not on the EDGAR index — not verified
Today's price already contains the entire 2026 build	Value-per-car table, built by red, independently re-derived by blue	~\$1.98B of business value ÷ 3,500 target cars = ~ \$567k per car , against ~\$28k/year of revenue per car (~20× revenue). At a 10× multiple the fully funded 2026 fleet is worth ~\$0.98B of business value — below today's	CONFIRMED by both benches. This is the only leg the reject actually rests on
Tape price	Pack vs. bench text	Pack reads \$7.78 ; the red bench wrote \$7.88 throughout and claimed it used the pack "as given"	OUR OWN ERROR (red's) — immaterial to any conclusion, but it was stated as a quotation of the pack
Live broker quote	IBKR	Permission denied on both benches	NOT CHECKED — coverage gap. All prices here are pack + last close
Whether the revenue deceleration is seasonal	Desk seasonality script	The script could not be run in either bench	NOT CHECKED — coverage gap. The "comp ladder is collapsing" claim is under-verified on both sides

Claim	How checked	Found	Confirmed?
Blue's source for the 1,159 fleet count — the number its entire overturn rests on	Citation check while writing this deck	Blue cites a 2025-series SEC accession for a figure as of 12/31/2025, which does not fit. A second, independent source (Gasgoo) reports the same 1,159	Number probably right; citation NOT confirmed. Must be re-pulled before the +7.3% figure is used anywhere else
Whether app-store data can independently verify ride volume	App review velocity, PonyPilot+ and peer WeRide Go	0.07 reviews/day $\approx$ 6 reviews per quarter against a claimed 1.5M registered users. China hailing runs through WeChat/Alipay mini-programs, not the App Store	NON-DIAGNOSTIC — this detector cannot see the business. Would need Chinese app-store data (Qimai/Diandian)
Customer concentration	Attempted	Partner revenue from a named handful of counterparties is commingled into the robotaxi line with no split disclosed	UNCHECKABLE from current filings. Needs the FY2025 20-F major-customer note

Fifteen other pattern checks were run and came back clean or non-applicable (China small-cap pump archetype: 1 of 9 features present; no lock-up expiry; no follow-on on file; no going-concern language; no common-control accounting; no US-defense or DOE program exposure).

PROPOSED ENTRY BANDS

The courts say no entry. Position size today: 0.0% of book. No buy, no starter, no order staged, no short. Both benches independently landed on flat, each at 8/10 conviction. The book currently holds none and has no working orders.

Below are the **reopen bands** — the conditions under which this file comes back to court.

Reopen on evidence (primary — both benches agree this is the single trigger). Either of:

- Fare-charging revenue in dollars**, for the first time, at the Q3 print. Threshold from red's own math: if Q2/Q3 fare revenue is $\geq \$7\text{M}$ ($\geq 58\%$ of the robotaxi segment), fare revenue per car is roughly **\$4,100 per car per quarter** and the ride business is real and self-standing — reopen immediately at full court.
- Consistent as-of-date fleet counts** (both endpoints at quarter-end) showing average-fleet revenue per car up **more than 15% quarter over quarter**. Below that, the per-car story is fleet arithmetic, not monetization.

Secondary reopen items, any of which would materially move the file: disclosed **robotaxi segment gross margin** (as an audited or at least segment-level figure rather than a management characterization); a **binding** Uber Europe agreement with disclosed vehicle-funding economics and named cities; evidence that the \$271.6M wealth-management tranche and onshore cash are usable for European capital spending.

Reopen on price (secondary). These levels come straight from the value-per-car table that carries the reject. They **arm a watcher; they do not authorize a purchase** — with the fare line still withheld, the terminal case can't be graded at any price, so a price trigger buys a re-court, not shares.

Level	What it means	Distance from \$7.78
\$6.60	The fully funded 3,500-car 2026 fleet at 15× revenue per car. At this price the 2026 build is fairly paid for and you stop paying for 2027+	–15%; above the 52-week low, so reachable without a new low
\$6.365	52-week low. A break is a tape event, not a valuation event — it flags that our “already bounced 22% off the low” objection has gone stale	–18%
\$5.50	The fully funded 2026 fleet at 10× revenue per car (~\$0.98B of business value). Below this the entire 2027+ ladder is free	–29%; requires a new low
\$3.21 / \$2.58	Reference floors only: total cash-and-investments per share, and hard cash + short-term investments per share	Not action levels

If it goes the other way: a re-rating back toward \$11 *without* new fare disclosure confirms the reject was right and the name is trading on the 2029 story. Retire the watcher; do not chase.

Catalyst dates.

- **2026-11-17 — next earnings, UNCONFIRMED.** This date is derived from a data vendor, not from a company announcement. Historically the Q3 6-K has landed in late November (last year: 2025-11-24). It is roughly 60 sessions out; nothing lands within five trading days. The last print was 2026-08-18, two sessions back. **This is the date the whole file turns on** — it is the first opportunity for fare dollars to appear.
- **2026-12-31 — management's year-end target of more than 3,500 cars.** A milestone, not a disclosure event; the actual year-end fleet count only surfaces with FY results.
- **~2027-03-26 — FY2026 results (estimated from last year's cadence).** First chance to see a 12/31/26 fleet count on a consistent as-of basis.

No pre-print position. The desk's default is that a clean court funds a minimum starter; this court is not clean — the named question was answered only weakly and only by management's own characterization, and the valuation roof is unresolved. Flat is the correct pre-print stance.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.5 (deck-provisional: Funded 2026 fleet at 10x revenue per car (~\$0.98B EV); the 2027+ ladder becomes free.)

- filing watch: 6-K until 2027-02-17 (deck-provisional: Q3 release: scan EX-99.1 for fare-charging revenue stated in DOLLARS - the single re-court trigger bot)
- dated pack PONY|2026-11-17: PONY: Q3 2026 results - vendor-derived date, no company PR names it; historical Q3 6-K is late November (2025-11-24). First chance for fare
- dated pack PONY|2026-12-31: PONY: Management target of more than 3,500 robotaxis deployed; milestone, not a disclosure event. (date confirmed=False)
- dated pack PONY|2027-03-26: PONY: FY2026 results (estimated from prior-year cadence) - first 12/31/26 fleet count on a consistent as-of basis. (date confirmed=False)

What remains unverified

Stated plainly, because several of these are load-bearing:

1. **Fare revenue in dollars — the central unknown.** Withheld for three straight quarters while percentages are published. Everything about the terminal case depends on it. It may never be disclosed.
2. **The split between passenger fares and partner-funded revenue** inside the robotaxi line, and customer concentration among the named partners. Not disclosed; the FY2025 20-F major-customer note has not been pulled.
3. **Robotaxi segment gross margin.** The 13–21% bound is inferred from management’s own narrative about mix, not from a disclosed segment margin. Management-scoped statements are not audited and we discount them accordingly.
4. **The 1,159 year-end-2025 fleet count** — the number blue used to overturn red’s “monetization is flat” finding. A second source agrees, but the SEC citation offered doesn’t fit the date. **Re-pull before reusing the +7.3% figure.**
5. **Whether Pony’s cash can fund European expansion.** No currency or jurisdiction split was ever obtained. Red asserted the cash is trapped onshore; that was never checked, and the Hong Kong listing suggests otherwise.
6. **Whether the revenue growth deceleration is seasonal.** Neither bench could run the seasonality check. The “the comps are collapsing” argument is currently unsupported by the desk’s own tooling.
7. **No live market quote.** The broker connection was permission-denied for both benches. All prices in this deck are the evidence pack’s \$7.78 plus a \$7.75 close on 8/20 — good enough for bands, not for execution.
8. **The Uber Europe economics.** “Contracted” is the company’s word for 2,000 vehicles. Who funds the vehicles, in which cities, on what revenue split, and by when — none of it is public. The company’s own language elsewhere concedes that “vehicle funding and ownership can sit with different partners depending on the market.”
9. **The 2026-11-17 print date,** as noted — vendor-derived, not company-confirmed.

10. **No independent read on ride volume exists.** Our app-based detectors are non-diagnostic for a China-native, mini-program-based hailing business, and we have no substitute source.
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